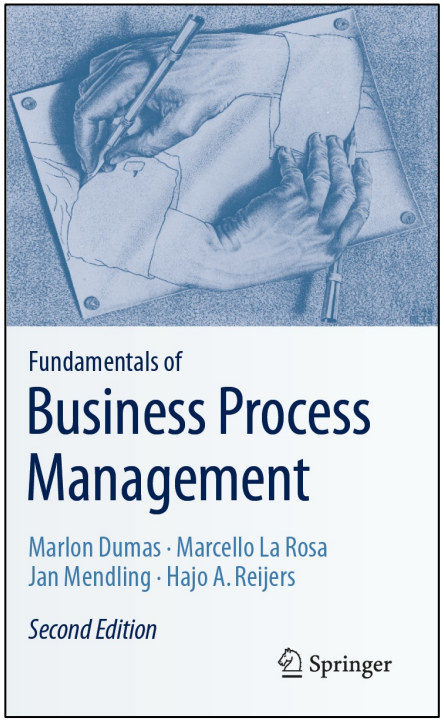
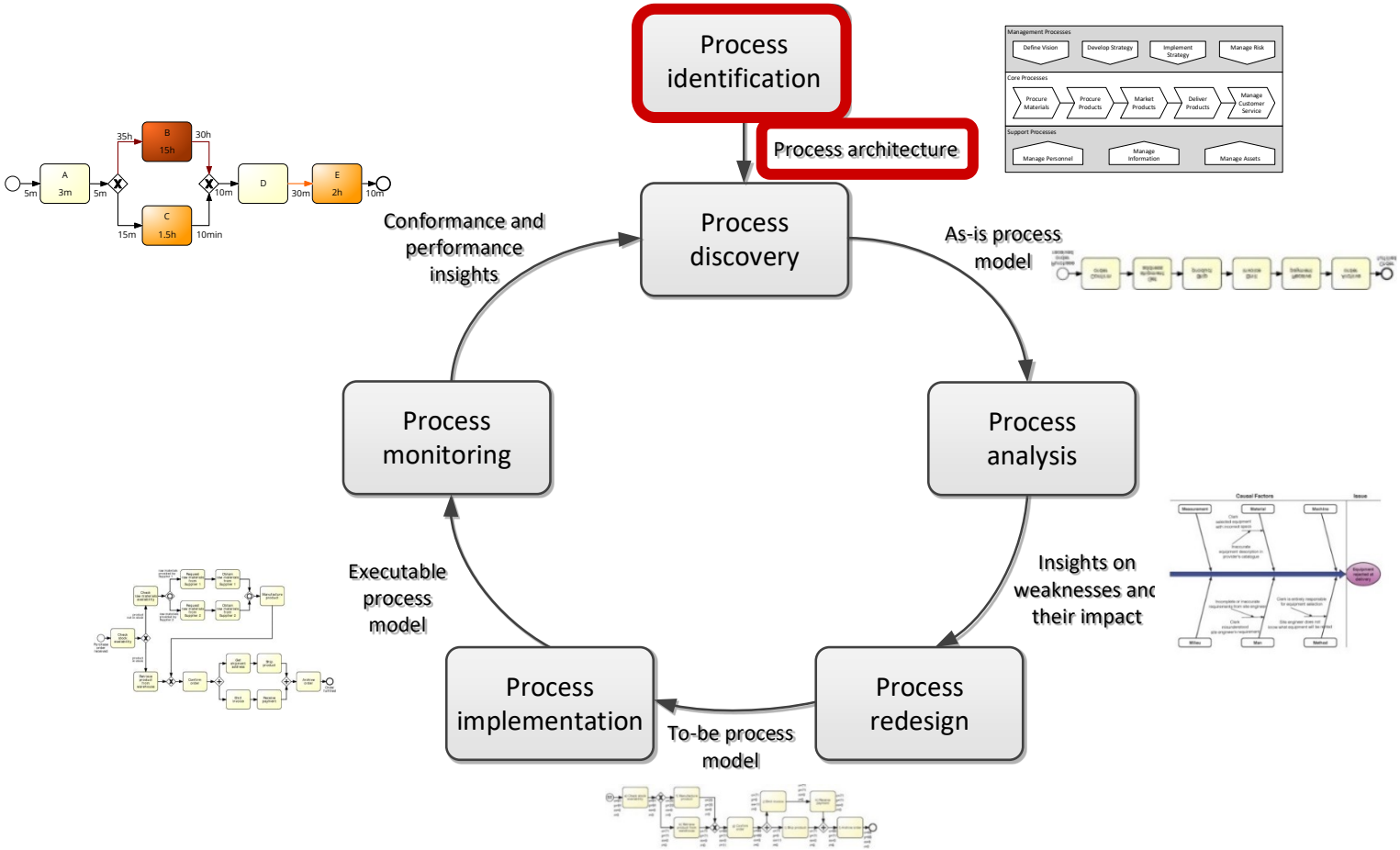
Chapter 2: Process Identification



Contents

1. The Context of Process Identification
2. Definition of the Process Architecture
    1. Process Categories
    2. Relationships Between Processes
    3. Reuse of Reference Models
    4. Process Landscape Model
    5. The Example of SAP's Process Architecture
3. Process Selection
    1. Selection Criteria
    2. Process Performance Measures
    3. Process Portfolio
4. Recap

Process Identification in the BPM Lifecycle



Chapter Overview

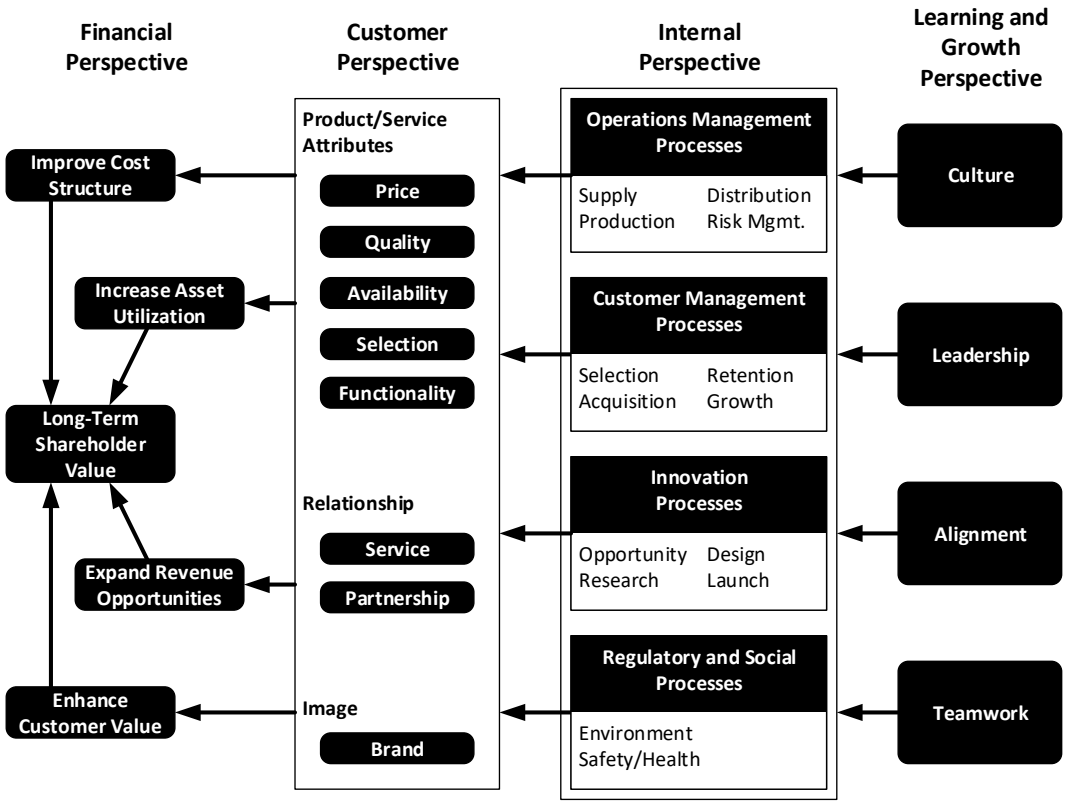
- Process identification refers to systematically defining business processes of organization and establishing criteria to select processes for improvement.
- Output is process architecture, which represents processes and interrelations.
- Process architecture serves as framework for defining priorities and scope of projects.
- First, we discuss the context of process identification.
- We present a method based on process architecture definition and process selection.
- Definition is concerned with listing initial set of processes and their architecture.
- Selection considers criteria for defining priorities of processes using a portfolio.

Definition of Business Strategy



Business strategy is an organizational perspective on setting and meeting business goals. (Mintzberg)

Balanced Scorecard (Kaplan & Norton)



Enterprise Architecture according to TOGAF

- **Organizational perspective:**
  actors, roles, and organizational structure.
- **Product perspective:**
  products and services along with their relationships.
- **Business process perspective:**
  process architecture.
- **Data perspective:**
  informational entities and their relationships.
- **Application perspective:**
  different pieces of software with their dependencies.
- **Technical infrastructure:**
  computer hardware and communication networks.

Changes of Strategic Relevance: Mannesmann







19th century



20th century

1990

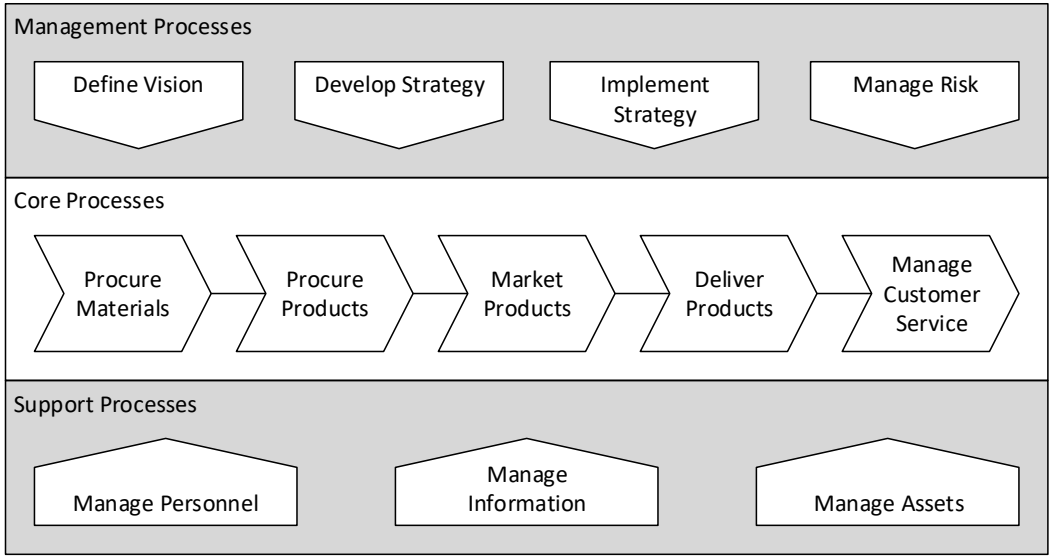
Sources: stahlseite.de, Copyright Uwe Niggemeier, deutsches-telefon-museum.eu, ebay-kleinanzeigen.de, wanne-eickel-historie.de

The Process Checklist

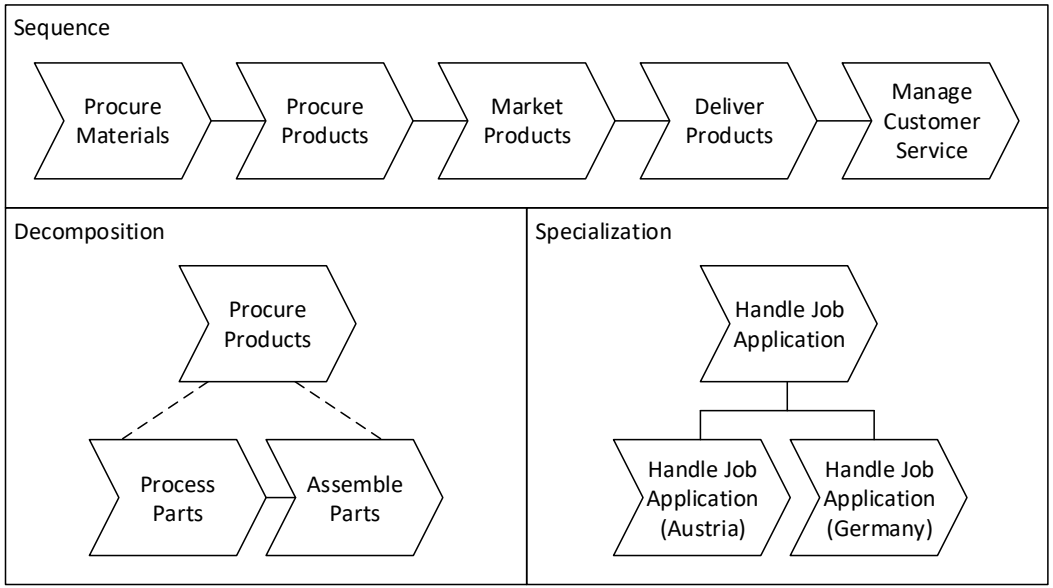
It may not be easy to decide on what to consider as a business process. A chunk of work that is frequently repeated might not be a business process on its own. To prevent poor scoping decisions, it is useful to consider the following process checklist:

- **Is it a process at all?**
  - It must be possible to identify main action, which is applied to a category of cases.
  - Name is of form verb + noun.
- **Can the process be controlled?**
  - Repetitive series of events and activities to execute individually observable cases.
  - Without a clear case notion, process management is not feasible.
  - Also, without any sense of repetition, a group of business activities may better qualify as a project than as a business process.
- **Is the process important enough to manage?**
  - There is customer who is willing to pay for outcomes,
  - Organization that carries out the process would be willing to pay another party for taking over, or
  - Legal, mandatory framework compels an organization to execute it.
- **Is the scope of the process not too big?**
  - 1:1 relation between initial event and activities.
- **Is the scope of the process not too small?**
  - Rule of thumb: there should be at least three different actors – excluding the customer – involved.
  - If there are no handoffs between multiple actors or systems, there is little that can be improved using BPM methods.

Process Categories



Relationships between Processes



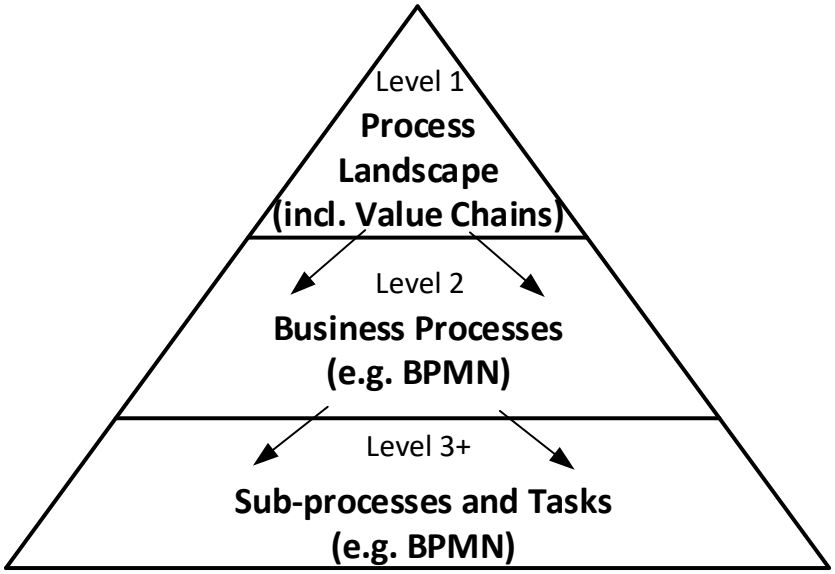
Questions: Relationships

- Can you think of other types of relations that are useful to distinguish between processes?
- Hint. Think about the purpose of identifying the relations between business processes

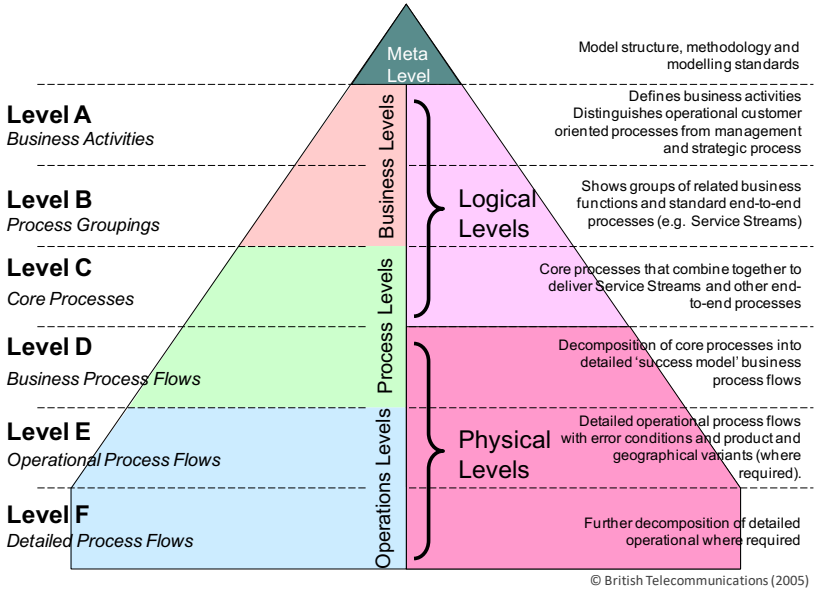


Process Architecture

Generic Process Architecture



British Telecom



APQC Process Classification Framework

1.0 Develop Vision and Strategy
1.1 Define the business concept and long-term vision
1.2 Develop business strategy
1.3 Execute and measure strategic initiatives

2.0 Develop and Manage Products and Services
2.1 Govern and manage product and service development program
2.2 Generate and define new product and service ideas
2.3 Develop products and services

3.0 Market and Sell Products and Services
3.1 Understand markets, customers, and capabilities
3.2 Develop marketing strategy
3.3 Develop and manage marketing plans
3.4 Develop sales strategy
3.5 Develop and manage sales plans

4.0 Deliver Physical Products
4.1 Plan for and align supply chain resources
4.2 Procure materials and services
4.3 Produce, manufacture, and deliver product
4.4 Manage logistics and warehousing

5.0 Deliver Services
5.1 Establish service delivery governance and strategies
5.2 Manage service delivery resources
5.3 Deliver service to customer

6.0 Manage Customer Service
6.1 Develop customer care and customer service strategy
6.2 Plan and manage customer service contacts
6.3 Service products after sales
6.4 Manage product recalls and regulatory audits
6.5 Evaluate customer service operations and customer satisfaction

7.0 Develop and Manage Human Capital
7.1 Develop and manage human resources planning, policies, and strategies
7.2 Recruit, source, and select employees
7.3 Develop and counsel employees
7.4 Manage employee relations
7.5 Reward and retain employees
7.6 Redeploy and retire employees
7.7 Manage employee information and analytics
7.8 Manage employee communication
7.9 Deliver employee communications

8.0 Manage Information Technology (IT)
8.1 Manage the business of information technology
8.2 Develop and manage IT customer relationships
8.3 Develop and implement security, privacy, and data protection controls
8.4 Manage enterprise information
8.5 Develop and maintain information technology solutions
8.6 Deploy information technology solutions
8.7 Deliver and support information technology services

9.0 Manage Financial Resources
9.1 Perform planning and management accounting
9.2 Perform revenue accounting
9.3 Perform general accounting and reporting
9.4 Manage fixed-asset project accounting
9.5 Process payroll
9.6 Process accounts payable and expense reimbursements
9.7 Manage treasury operations
9.8 Manage internal controls
9.9 Manage taxes
9.10 Manage international funds/consolidation
9.11 Perform global trade services

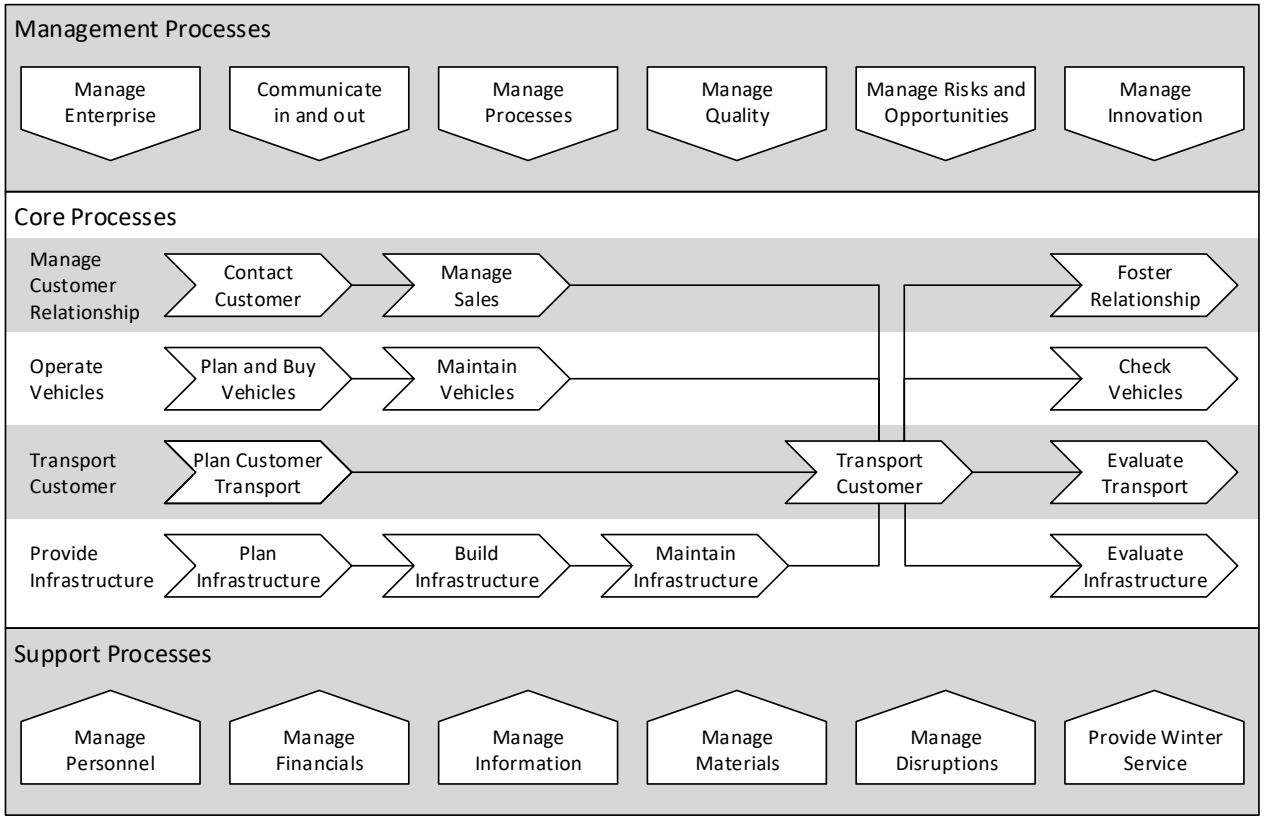
10.0 Acquire, Construct, and Manage Assets
10.1 Plan and acquire assets
10.2 Design and construct productive assets
10.3 Maintain productive assets
10.4 Dispose of assets

11.0 Manage Enterprise Risk, Compliance, Remediation and Resiliency
11.1 Manage enterprise risk
11.2 Manage compliance
11.3 Manage remediation efforts
11.4 Manage business resiliency

12.0 Manage External Relationships
12.1 Build investor relationships
12.2 Manage government and industry relationships
12.3 Manage relations with board of directors
12.4 Manage legal and ethical issues
12.5 Manage public relations program

13.0 Develop and Manage Business Capabilities
13.1 Manage business processes
13.2 Manage portfolio, program, and project
13.3 Manage quality
13.4 Manage change
13.5 Develop and manage enterprise-wide knowledge management (KM) capability
13.6 Measure and benchmark
13.7 Manage environmental health and safety (EHS)

Process Landscape Model: Example of Wienerlinien (Vienna Public Transport)



How to define Process Landscape Model

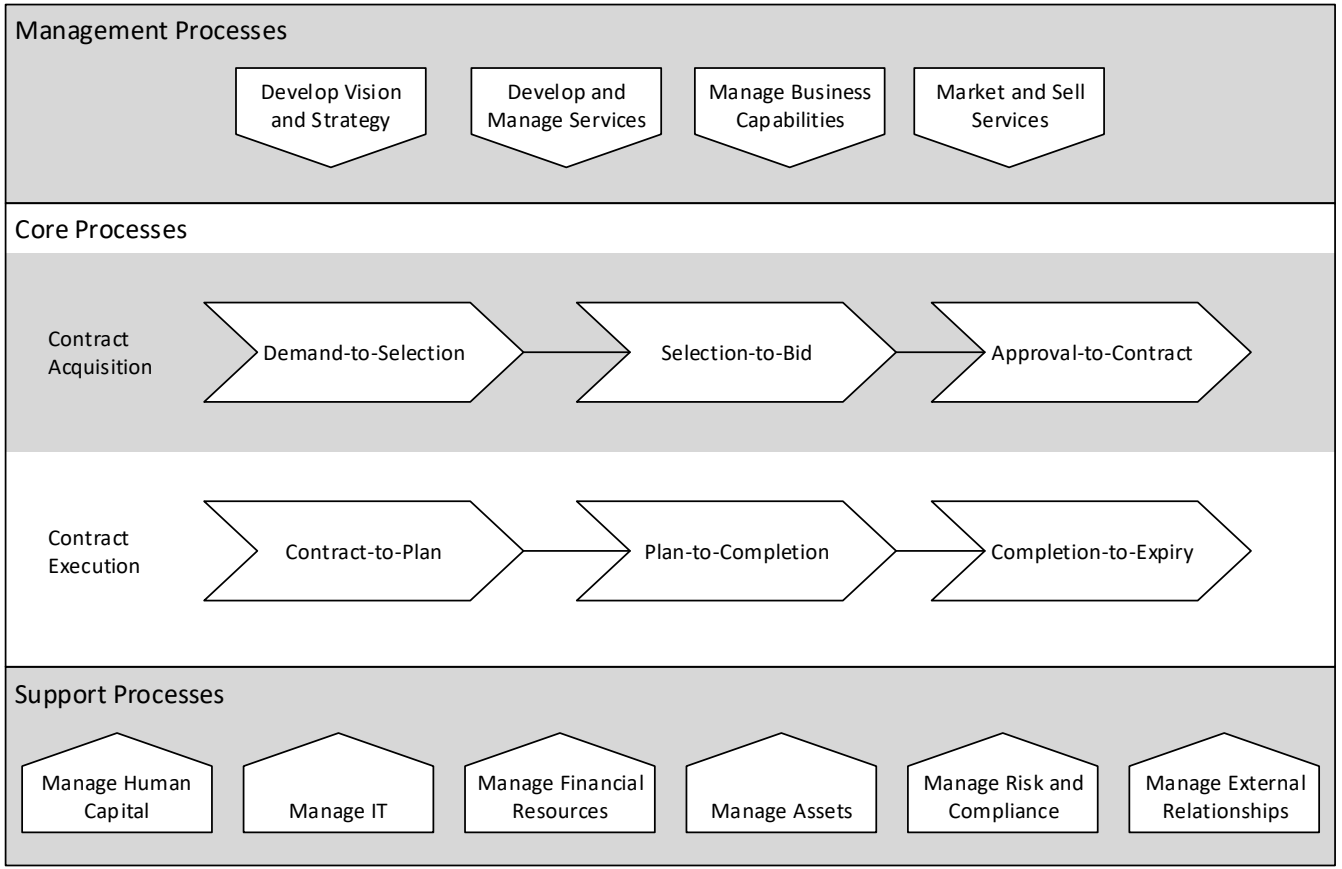
1. Clarify terminology:
   - Define key terms.
   - Use organizational glossary.
   - Use reference models.
   - Ensure that stakeholders have a consistent understanding of process landscape model.
2. Identify end-to-end processes:
   - Those processes interface with customers and suppliers.
   - Goods and services that organization provides are good starting point.
   - Properties help to distinguish processes, including: Product type, Service type, Channel, Customer type.
3. For each end-to-end process, identify its sequential processes:
   - Identify the internal, intermediate outcomes of end-to-end process.
   - Perspectives help set boundaries: Product lifecycle, Customer relationship, Supply chain, Transaction stages, Change of business objects, Separation.
4. For each business process, identify its major management and support processes:
   - What is required to execute the previously identified processes.
   - Typical support processes are management of personnel, financials, information, and materials.
   - However, these can be core processes if they are integral part of business model.
   - Management processes are usually generic.

How to define Process Landscape Model

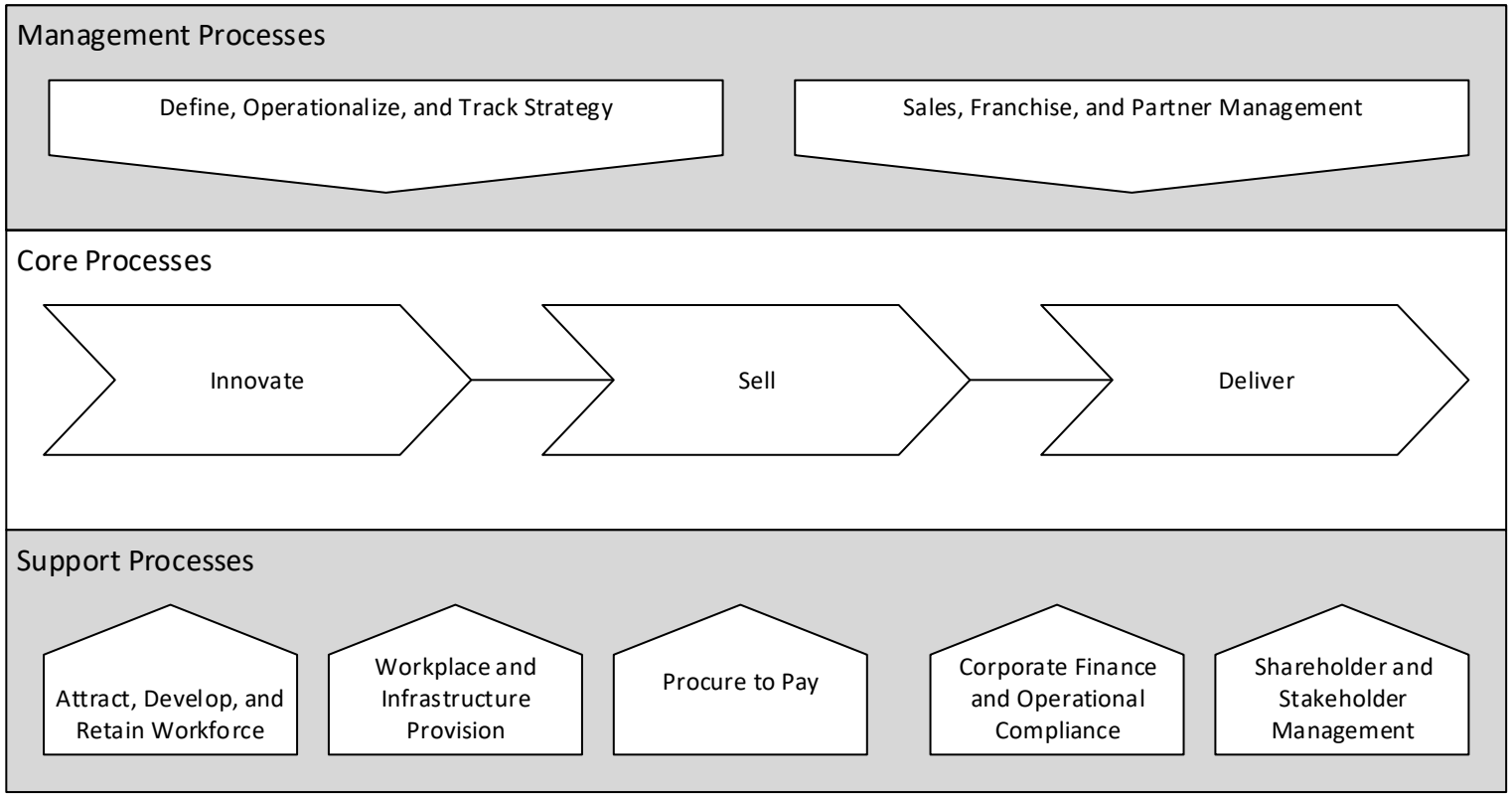
5. Decompose and specialize business processes:
   - Processes of process landscape should be further subdivided into abstract process on Level 2.
   - Further subdivision until processes can be managed autonomously by single process owner.
   - Considerations when this subdivision should stop: Manageability and Impact.
6. Compile process profile:
   - Each of the identified processes should be described using process profile.
   - Process profile supports definition of boundaries, vision performance indicators, resources, etc.
7. Check completeness and consistency:
   - Reference models can be used to check whether all major processes are included.
   - Reference models can help to check consistency of terminology.
   - Check whether all processes can be associated with functional units of organization chart and vice versa.

Process profile of BuildIT's procure-to-pay process

Name of Process: Procure-to-Pay	
Vision: The objective of the procurement process is to secure that the entire range of external products and services becomes available on time and is at the required level of quality.	
Process Owner: Chief Financial Officer (CFO)	
Customer of process: • Requesting unit	**Expectation of customer:** • Timely, economic and complete provision
Outcome: Delivered products or provided services for the requested unit	
Trigger: Need is identified	
First activity: Submit Request ..... **Last activity:** Create Purchase Order	
Interfaces inbound: Plan-to-Procure **Interfaces outbound:** Construct-to-Complete	
Required resources: • Human resources: Site Engineer, Clerk, Works Engineer • Information, documents, know-how: procurement guidelines, supplier rating, framework contract • Work environment, materials, infrastructure: Procurement information system	
Process Performance Measures: • Cycle Time • Operational Costs • Error Rate	


Management Processes
Develop Vision and Strategy
Develop and Manage Services
Manage Business Capabilities
Market and Sell Services
Core Processes
Contract Acquisition
Demand-to-Selection
Selection-to-Bid
Approval-to-Contract
Contract Execution
Contract-to-Plan
Plan-to-Completion
Completion-to-Expiry
Support Processes
Manage Human Capital
Manage IT
Manage Financial Resources
Manage Assets
Manage Risk and Compliance
Manage External Relationships

Example of SAP Process Map



Selection Criteria

- **Strategic Importance:**
  - Find out which processes have the greatest impact on the strategic goals.
  - Consider profitability, uniqueness, or contribution to competitive advantages.
  - Select those processes for process management that relate to strategy.
- **Health:**
  - Determine which processes are in deepest trouble.
  - These processes may profit the most from BPM initiatives.
- **Feasibility:**
  - Determine how susceptible process is to BPM initiatives, incidentally or continuously.
  - Culture and politics may be obstacles.
  - BPM should focus on those processes where it is reasonable to achieve benefits.

Process Performance Measures

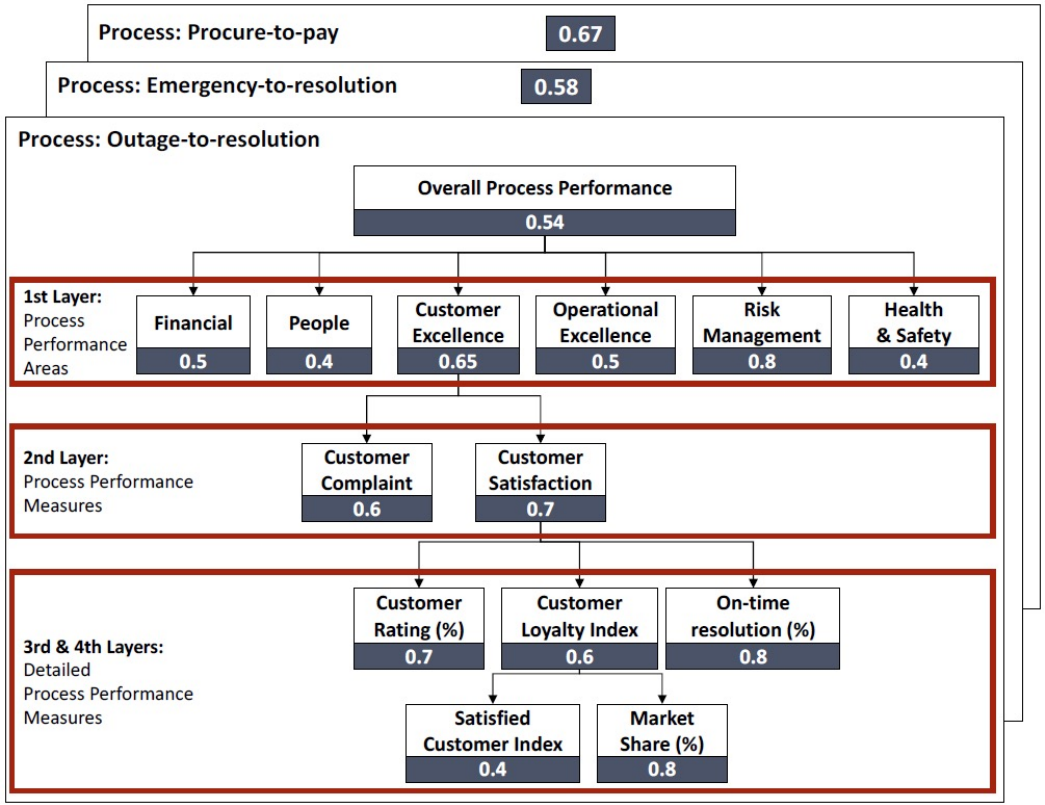
Performance Measures

- Time
- Cost
- Quality
- Flexibility

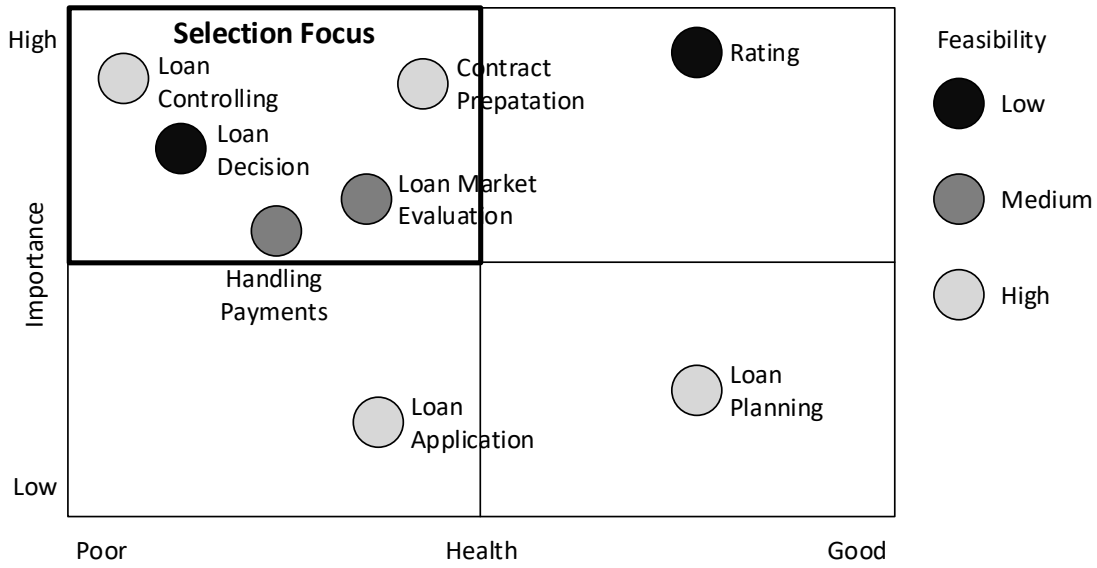
Performance Objectives

- Formulate *performance objectives* of the process at a high level, in the form of a desirable state that the process should ideally reach, e.g., customers should be served in less than 30 minutes.
- For each performance objective, identify the relevant *performance dimension(s)* and aggregation function(s), and from there, define one or more *performance measures* for the objective in question, e.g., the percentage of customers served in less than 30 minutes. Let us call this measure ST(30).
- Define a more refined objective based on this performance measure, such as ST(30) >99%.

Balanced scorecards with cascading process performance measures



Process Portfolio



Recap

- In this chapter, we discussed process identification.
- Process architecture definition aims at enumerating major processes of organization.
- Process architecture defines relationship between processes.
- Seven-step method for definition of process architecture including process landscape model.
- Process selection is concerned with prioritizing processes.
- Priorities upon importance of processes, health, and feasibility of improvements.
- Assessed by process owners or grounded on process performance measures and objectives.
- Most common performance dimensions are time, cost, quality, and flexibility.
- Process portfolios help in selection of processes for improvement.
- Selected processes become subject of remaining phases of BPM lifecycle.